# Ujvn Ltd vs Uttarakhand Electricity Regulatory ... on 4 February, 2026



IN THE APPELLATE TRIBUNAL FOR ELECTRICITY
(Appellate Jurisdiction)

APPEAL No. 260 OF 2017
&
APPEAL No. 264 OF 2017

Dated: 03.02.2026

Present: Hon`ble Ms. Seema Gupta, Technical Member (Electricity)
Hon`ble Mr. Virender Bhat, Judicial Member

APPEAL NO. 260 OF 2017

IN THE MATTER OF:

UJVN Ltd.
"UJJWAL" Maharani Bagh,
GMS Road, Dehradun - 248006 ... Appellan

VERSUS

1. UTTARAKHAND ELECTRICITY REGULATORY COMMISSION
   Thr. Secretary
   ISBT Chowk, Majra,
   Dehradun, Uttarakhand - 248171.

2. UTTARAKHAND POWER CORPORATION LIMITED
   (Thr. Secretary), Victoria Cross
   Vijeyta Gabar Singh Bhawan,
   Kanwali Road, Balliwala Chowk,
   Dehradun-248001, Uttarakhand .... Respondents

Counsel on record for the Appellant(s) : Saushriya Havelia
Tanvi Anand for App. 1

Counsel on record for the Respondent(s) : C.K. Rai
Anuradha Roy
Vinay Kumar Gupta for Res. 1

Pradeep Misra
for Res. 2

APPEAL NO. 264 OF 2017

IN THE MATTER OF:

UJVN Ltd.
"UJJWAL" Maharani Bagh,
GMS Road, Dehradun - 248006 ... Appellant(s

VERSUS

1. UTTARAKHAND ELECTRICITY REGULATORY COMMISSION
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Vinay Kumar Gupta
for Res. 1



Pradeep Misra
for Res. 2

JUDGEMENT

PER HON'BLE MRS. SEEMA GUPTA, TECHNICAL MEMBER (ELECTRICITY)

1. Appeal No. 260 of 2017 and Appeal No.264 of 2017 have been filed by the UJVN Ltd., challenging the order dated 30.11.2016 in Petition No. 36 of 2016 (hereinafter referred as "Impugned Order") along with order dated 25.05.2017 in Review Petition No.12 of 2017, passed by the Uttarakhand Electricity Regulatory Commission (UERC) denying the determination of Project specific Tariff for Pathri SHP & re-determination of generic tariff for Mohammadpur SHP Respectively.

2. The issues involved in the both the Appeals are common in nature, and are arising from the common Impugned Order, both the appeals are being disposed of with this common judgment. Brief facts of the Appeals are as given below:

3. The Appellant, UJVN Ltd. (hereinafter referred as "Appellant/UJVNL") is a company incorporated, in November 2001, under the provision of the Companies Act, 1956, and is a wholly owned Corporation of the Government of Uttarakhand. Government of Uttarakhand (GoU) vide its order dated 05.11.2001 transferred all hydropower assets of Uttar Pradesh Jal Vidyut Nigam Limited (UPJVNL) located in the state of Uttarakhand to UJVNL with effect from 09.11.2001. Besides owning existing hydro generation projects of the Uttarakhand State, UJVNL is also into developing new power stations of the State Judgement in Appeal Nos. 260 of 2017 & 264 of 2017

4. Respondent No.1 is the Uttarakhand Electricity Regulatory Commission (hereinafter referred as "State Commission/UERC") regulates the state's power sector.

5. Respondent No.2 is the Uttarakhand Power Corporation Limited (hereinafter referred as "Respondent No 2/UPCL"), is a state government undertaking and the sole electricity distributor for Uttarakhand State.

FACTUAL MATRIX OF THE CASE - Appeal No 260 of 2017:

6. In 1955, the Pathri Power House was constructed on the Upper Ganga Canal at a location approximately 13 km downstream of the holy city, Haridwar and comprises three generating units of 6.8 MW each, which were commissioned during the First Five Year Plan in the year 1955. All three units of the Pathri SHP have remained in continuous operation since their commissioning.

7. The maximum generation of the Pathri SHP, amounting to 134.154 MU, was achieved in FY 1968-69, while the minimum generation of 68.05 MU was recorded in FY 1977-78, and the generation from the Pathri SHP prior to Renovation and Modernization was 90-100 MU per year.

8. The tariff applicable to the Pathri SHP is Rs. 1.05 per kWh, as determined by the State Commission in its SHP Tariff Order dated 19.05.2009, with effect from 01.04.2008, valid for a period of 30 years from the this date.

9. On 10.02.2010, a revised DPR for the Renovation and Modernisation of the Pathri SHP was prepared by the Appellant in December 2009, at an estimated cost of Rs. 80.82 crore (excluding IDC) and Rs. 92.82 crore (including IDC).

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017

10. On 09.03.2010, Contract for Renovation and Modernisation was signed between UJVNL and M/S ANDRITZ Hydro Pvt Limited. On 01.05.2010, Contract was given to the M/s AHPL for Reverse Engineering, and based on technical consideration, some additional items were also required and the Board of Directors, UJVNL approved the revised project cost of about Rs. 99.05 Crore (excluding IDC) and Rs. 113.25.Crore (including IDC).

11. During 06.10.11 to 31.08.2014, the renovation and modernisation works of all three units of the Pathri SHP were duly completed, and the unit-wise dates of commercial operation are given hereunder:

| Unit No. | Start date | End date (COD) |
|---|---|---|
| Unit 1 | 06.10.2011 | 15.10.2013 |
| Unit 2 | 05.04.2013 | 26.04.2014 |
| Unit 3 | 16.04.2013 | 31.08.2014 |

12. The Tariff Regulations, 2013 came into force with effect from 01.04.2013 and on 10.11.2014, the Appellant filed Petition No. 36 of 2016 seeking approval of the generic tariff for the Pathri SHP.

13. On 30.11.2016, the State Commission passed the impugned order vide which generic tariff for the Pathri project was not fixed holding that the plant was already generating electricity and cost of Renovation and modernisation is limited to electro chemical works, and by relaxing RE Regulation 2013, State Commission determined the Project Specific tariff for Pathri SHP. Appellant's Review Petition No. 12 of 2017, pointing out the errors in the said order as well as error in project specific tariff determined, was dismissed by the State Commission on 25.05.2017 on the grounds that there was no evident error or Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 new facts, however State Commission modified the order concerning Return of Equity. Hence, this appeal before this Tribunal.

FACTUAL MATRIX OF THE CASE - Appeal No 264 of 2017:

14. The Mohammadpur SHP has been commissioned in the year 1952 on the Upper Ganga Canal, approximately 49.5 km downstream of Mayapur. The Mohammadpur SHP comprises three units of 3.1 MW each and prior to renovation and modernization, the Mohammadpur SHP was generating approximately 40.44 MU of electricity per annum. The tariff applicable to the Mohammadpur SHP is Rs. 1.20 per kWh, as determined by the State Commission in its SHP Tariff Order dated 19.05.2009, with effect from 19.05.2009, valid for a period of 30 years from the this date.

15. On 10.02.2010, DPR for the Renovation and Modernisation ( RMU) of the Mohammadpur SHP at an estimated cost of Rs. 53.66 Crore (excluding IDC) and Rs. 64.35 Crore (including IDC) was approved by the Board of UJVNL, and cost for the RMU was revised to Rs. 73.32 Crore (excluding IDC) and Rs. 76.21 Crore (including IDC).

16. Pursuant to a competitive bidding process for award of RMU work, comprehensive renovation and modernization of the 3 × 3.1 MW Mohammadpur Small Hydro Project was completed and all the units of Mohamaddpur SHP became operational by 21.07.2013. Unit-wise dates of commercial operation are given hereunder:

| Unit No. | Start date | End date (COD) |
|---|---|---|
| Unit 1 | 06.06.2010 | 30.04.2012 |
| Unit 2 | 01.05.2012 | 14.05.2013 |



| Unit No. | Start date | End date (COD) |
|---|---|---|
| Unit 3 | 16.10.2012 | 21.07.2013 |

17. On 27.09.2013, the revised project cost for RMU was approved by the Board of Directors at about Rs. 67.38 Crore (excluding IDC) and Rs. 7,6.54 Crore (including IDC and the funding plan) and a petition was filed by Appellant for determination of generic Tariff for UJVNL's Mohammadpur SHP post renovation and Modernisation.

18. State Commission on 30.11.2016 passed the impugned order vide which generic tariff for the Mohammadpur SHP was denied and further holding that the plant was already generating electricity and cost of Renovation and modernisation is limited to electro chemical works and by relaxing RE Regulation 2013, determined the Project Specific tariff for Mohammadpur SHP. Appellant's Review Petition No. 12 of 2017, was dismissed by the State Commission on 25.05.2017 on the grounds that there was no evident error or new facts, however State Commission modified the order concerning Return of Equity.

19. Aggrieved by the Impugned Order dated 30.11.2016 and Review Order dated 25.05.2017, the Appellant has filed present appeals contending that State Commission has wrongly denied the Generic Tariff for the Pathri SHP and Mohammadpur SHP under "UERC RE Regulations, 2013" and has instead, determined the Project Specific Tariff for the said SHPs; it seeks the re- determination of the Tariff of Pathri SHP at Rs 4.21 /kWh and the Mohammadpur SHP at Rs 4.52/kWh taking into account, that the Renovation and Modernization (RMU) of the Plants, which had outlived their life,

had been completed after the notification of "UERC RE Regulation, 2013". Alternatively, the Appellant has also challenged the fixation of the project specific Tariff of Pathri SHP at Rs. 1.37/ kWH Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 and Mohammadpur SHP at Rs. 1.85/kWh and disputed the Capital cost considered, Normative O&M charges, Design Energy, Reduction of subsidiary from loan affecting interest on loan, non-consideration of salvage value.

Analysis and Discussion

20. We have heard Ms Saushriya Havelia, learned counsel on behalf of the Appellant, Mr C.K.Rai, learned counsel on behalf of the Respondent Nos. 1, and Mr Pradeep Mishra, learned Counsel on behalf of Respondent No 2. We have also perused the Impugned Order, the documents placed on record, and the written submissions filed by the learned counsels and following issues emerges for consideration:

> Issue No 1 : Applicability of Generic Tariff in terms of "UERC RE Regulation, 2013" for the Pathri SHP and Mohammadpur SHP post completion of Renovation, Modernization and Uprating ( "RMU") Issue No 2: Project Specific tariff determination
>
> a) capital Cost
>
> b) Interest on Loan; deduction of MNRE subsidy from Loan
>
> c) Treatment of salvage value of the project pre RMU
>
> d) design energy
>
> e) O& M Charges Issue No 1 : Applicability of Generic Tariff in terms of "UERC RE Regulation, 2013" for the Pathri SHP and Mohammadpur SHP post completion of Renovation, Modernization and Uprating ( "RMU") Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 SUBMISSIONS URGED ON BEHALF OF APPELLANT

21. Learned counsel submitted that the Pathri SHP and Mohammadpur SHPs had been initially commissioned in 1955 and 1952 respectively and the capacity of these SHPs had reduced drastically over time; for Pathri SHP from 20.4 MW to 18.6MW and for Mohammaddpur SHP from 9.3 MW to 6.5MW. There was considerable wear and tear, frequent breakdowns and non-availability of spare parts due to the equipment being very old and accordingly Renovation and Modernization of the SHPs was taken up and date of commissioning of the SHPs has been sought as 31.08.2014 for Pathri SHP and 21.07.2013 for Mohammadpur SHP, by which time "UERC RE Regulations, 2013" has come into force , and it was prayed that generic tariff be determined as per the said Regulations. State Commission, in the Impugned Order had observed that the "UERC RE Regulations, 2013" had not been promulgated keeping in view cases such as that of the Appellant; nevertheless, State Commission relaxed the Regulations and apply the same to the Appellant's SHP, however adopted a strict and literal interpretation of the these Regulations. Consequently, State Commission rejected

the Appellant's prayer for grant of generic tariff on the grounds that 1) 2013 Regulations were only applicable to SHPs that had been commissioned after the said Regulations had come into force and 2) there cannot be two dates of commissioning for a project 3) the SHPs were already generating electricity 4) since the RMU was limited to electromechanical and hydro mechanical woks, and not major civil work and land rehabilitation, there is no premise under which generic tariff under the "UERC RE Regulations, 2013" can be made applicable to the SHPs.

22. It is submitted that necessity of Renovation, Modernization and Uprating ("RMU"), has been accepted by State Commission and also confirmed by the Central Electricity Authority for life extension of these plants. Regulation 2(1) of Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 the "UERC RE Regulations, 2013", apply to all projects commissioned after the coming into force thereof, and under Regulation 3(nn) of the "UERC RE Regulations, 2008", the normative life of an SHP is 35 years, whereas the SHPs in the present case had already been in operation for approximately 60 years. While determining the project-specific tariff, State Commission has itself approved levelized tariff for both the SHPs as 35 years, i.e. the life of a new SHP. Accordingly, the date of commercial operation post RMU ought to have been treated as the date of commissioning, particularly since Regulation 3(l) does not draw any distinction between the CoD of a new plant and that of a plant commissioned after RMU.

23. Under Regulation 15(1) of the "UERC RE Regulations, 2013", while repealing the UERC RE Regulations, 2010, civil works were specifically excluded from the scope of capital cost under Regulation 16(1), and therefore land acquisition, rehabilitation and civil works cannot be treated as mandatory prerequisites for determination of capital cost under "UERC RE Regulations, 2013"; the definition of "capital cost" under these regulations, was consciously expanded, and accordingly, the refusal to grant generic tariff merely on the ground that the RMU did not involve civil works is legally untenable, particularly when the Regulations themselves were not framed keeping in view SHPs undergoing RMU, warranting a purposive and liberal interpretation of the said definition. Further, Regulation 49 gives State Commission the power to remove difficulty, while Regulation 50 gives it the power to relax. These powers should have been exercised to grant generic tariff to these projects of Appellant.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

24. It is submitted that the date of completion of RMU cannot be construed as the date of commissioning of the projects, since commissioning of the generating stations had already taken place much earlier in the years 1955 and 1952 and Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 there cannot be two dates of commissioning for the same project. It has been observed in the Impugned Order that Regulation 2(1) of the "UERC RE Regulations, 2013 shall apply in all cases where supply of electricity is being made from Renewable Energy sources and non-fossil fuel based co-generation stations, commissioned after coming in effect of these regulations and the Appellant has erroneously sought to equate the date of commissioning specified under the Regulations with the date of completion of RMU of the SHPs, which is impermissible under the scheme of the applicable Regulations, inasmuch as the date of recommencement of generation after completion of RMU cannot be treated as the date of commissioning for the purpose of applicability of generic tariff

under the RE Regulations, 2013. State Commission, vide its Order dated 19.05.2009, had already determined tariff for the Appellant's Pathri and Mohammedpur SHPs in accordance with then prevailing norms and has attained finality in the absence of challenge; consequently there is no basis to treat the said projects as new SHPs and grant them generic tariff under the "UERC RE Regulations, 2013".

25. It is further observed in the Impugned Order that RMU activity was largely related to Electro-mechanical and Hydro-mechanical activities, whereas the normative capital cost specified under the "UERC RE Regulations, 2013"

> encompasses land, rehabilitation, civil works as well as electro-mechanical and hydro-mechanical works accordingly generic tariffs as per "UERC RE Regulations, 2013" could not be made applicable to the Appellant's Pathri and Mohammadpur SHPs. With regards to the Appellant's contention that civil works stand excluded from the definition of capital cost under Regulation 15(1) of the "UERC RE Regulations, 2013", as compared to Regulation 16(1) of the UERC RE Regulations, 2010, and therefore absence of civil works would not disentitle the projects from applicability of generic tariff, it is submitted that the said contention is misconceived. Definition of Capital Cost in "UERC RE Regulations, Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 2013" undoubtedly includes all cost incurred or projected to be incurred and by no stretch of imagination one can contend that a new plant would commission without incurring any expenditure relating to civil work; in fact definition of Capital cost got further broadened in the "UERC RE Regulation, 2013" and shall include all cost incurred or projected to be incurred up to the date of commercial operation or commissioning of the project, as admitted by the Commission after prudence check.

26. It is further submitted that in the absence of any provision in "UERC RE Regulations, 2013" for revival of stranded projects or projects which had outlived their useful life and required RMU activities, the State Commission, in exercise of its powers under Regulation 50 of the RE Regulations, 2013, decided to relax the Regulations to include such projects for the limited purpose of their revival. In the present case, while appreciating the necessity of RMU of the Paturi and Mohammadpur SHPs, the State Commission allowed a project-specific tariff by applying the "UERC RE Regulations, 2013" as prevalent at the time of completion of the RMU works, considering the financial and operating norms thereunder, except for capital cost which had already been validated by the CEA. It is further submitted that under the "UERC RE Regulations, 2013", per MW cost for projects commissioned after 01.04.2013 is Rs. 750 lakh/MW (for projects of 5 MW to 15 MW), whereas in the present case, the RMU cost for Pathri works out to only Rs. 539.21 lakh/MW (based on total RMU cost of Rs. 110 crore for 20.4 MW). On this ground also, the determination of generic tariff was not permissible. Accordingly, it has been rightly held in the Impugned Order that the Appellant is not entitled to the generic tariff, and the contention raised by the Appellant in this regard is devoid of merit and liable to be rejected.

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27. There is no dispute with regard to necessity and undertaking of RMU activities of the referred SHPs as they were already under operation for almost 60 years prior to undertaking of such RMU works. The issue is with regard to applicability of generic tariff in terms of "UERC RE Regulations, 2013". On the perusal of the referred Regulations, it is noted from Regulations 2(1) that "These Regulations shall apply in all cases where supply of electricity is being made from Renewables Energy Source and Non-Fossil Fuel Based Co-Generating Stations, commissioned after coming into effect of these Regulations, to the distribution licensee or local rural Grids within State of Uttarakhand." The 2nd Proviso to Regulation 2(1) read as under:

> "Provided further that Regulations in Chapter 4 & 5, shall not be applicable for generating stations commissioned prior to coming into effect of these Regulations and their present tariffs shall continue to be applicable...."

28. Thus the "UERC RE Regulations, 2013", clearly specifies that these regulations shall be applicable for projects commissioned after coming into force of the regulations and shall not be applicable for the projects which had already been commissioned prior thereto. It is an admitted fact that Pathri SHP was commissioned in the year 1955 and Mohammadpur SHP has been commissioned in the year 1952, and that the Appellant has been receiving tariff in respect of the said projects. It has, however, been contended on behalf of the Appellant that post RMU, the commissioning date of the aforesaid SHPs to be taken as the commissioning dates in terms of the "UERC RE Regulations, 2013", and that the generic tariff prescribed thereunder should accordingly be made applicable to the said projects. It is important to note the basic contours and scope of RMU vis-à-vis the determination and applicability of Generic tariff.

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29. In the context of power generation projects, RMU stands for Renovation, Modernization and Uprating, and refers to a set of measures taken to extend the useful life of an existing plant, improve efficiency, and enhance the capacity of aging power plants. Renovation ordinarily entails the repairing or replacing worn- out civil, mechanical, and electrical components to restore the plants to its original performance parameters; Modernization means introducing new technologies to improve reliability and to reduce operating and maintenance costs and uprating refers to increasing the plants generation capacity by upgrading equipment such as replacing old turbines with more efficient ones. Together, RMU ensures that older plants can continue operating safely and efficiently without the need for building entirely new facilities.

30. On the other hand, the generic tariff is a normative tariff framework primarily for new generating stations, based on standard assumptions relating to capital cost, operating parameters, useful life, and prescribed performance norms. Such tariff dispensation is intended to ensure uniformity, regulatory certainty, and administrative convenience for new capacity additions. In our view, the undertaking of RMU does not result in the commissioning of a new generating station; rather, it is an intervention in an existing asset and RMU expenditure is inherently project-specific, depending upon age and condition of the plant, scope and extent of replacement, site-specific civil and hydrological conditions, and legacy design constraints etc. Thus, the outcomes of RMU projects

vary widely.

31. We, therefore, do not find merit in the contention of the Appellant that completion of R&M renders the project comparable to a new generating station, to be eligible to generic tariff as mere extension of useful life or improvement in Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 its operational efficiency does not efface the existing character of the generating station, nor does it convert the project into a new hydro project for tariff purposes. Thus, in the absence of commissioning of a new hydro project, the foundational condition for application of a generic tariff, namely, new capacity addition under a uniform normative framework--does not stand satisfied. The completion of RMU, by itself, cannot place an existing hydro station at par with a new hydro project for tariff purposes. Furthermore, generic tariff is based on benchmark capital costs applicable to new projects and not on the actual expenditure incurred on RMU. RMU costs are usually lower than new project costs, as is also evident in the instant case, so applying generic tariff would lead to inefficient cost recovery and potential burden on consumers. We are therefore in agreement with the observation in Impugned Order referred SHPs are not eligible for Generic Tariff. We therefore do not find it necessary to deliberate on the other contention with regard to scope and ambit of capital cost under Regulation 15(1) of the "UERC RE Regulation, 2013".

32. In view of the above deliberation, we find that there is no error in the Impugned Order with regard to non-applicability of Generic tariff for the Pathri SHP and Mohammadpur SHP post RMU and the Impugned Order is upheld on this issue.

ISSUE NO 2 (a) : PROJECT SPECIFIC TARIFF DETERMINATION - CAPITAL COST
SUBMISSIONS URGED ON BEHALF OF APPELLANT

33. It is submitted that in the Impugned Order, while determining tariff, capital cost of the Pathri SHPs as sent to the CEA, i.e, Rs. 105 Crore ( with IDC) and Rs. 73.32 Crores (without IDC) was considered, however, after the DPR was sent to the CEA, the capital cost of the Pathri SHP (excluding IDC) increased to Rs. 111.13 Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 Crore on account of pending payments. Though the details were furnished to State Commission vide letter dated 21.09.2016; however, it did not take the same into consideration in its tariff order dated 30.11.2016 and, in the review order dated 25.05.2017, it is observed that the in accrual basis of accounting, irrespective of the fact that payment has been made or not, expenditure has to be recognized in the accounts.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

34. Regarding the contention of Appellant that the State Commission considered the capital cost as validated by the CEA for both SHPs without taking into account the alleged increase in actual cost (excluding IDC) on account of pending payments, it is submitted that the State Commission, in the Impugned Order, has relied upon the capital cost duly validated by the CEA and was not required to undertake a detailed scrutiny of each individual cost component claimed by the Appellant. Further, the contention of the Appellant that the capital cost (without IDC) of the Pathri SHP had increased to Rs. 111.13 crore on account of pending payments, which were admittedly not paid by the

Appellant at the time when the actual cost was communicated to the CEA, is wholly devoid of merit. Appellant, being a company registered under the Companies Act, is required to follow the accrual basis of accounting, under which expenditure is required to be duly recognized in the accounts irrespective of whether the actual payment has been made. In any event, more than two years had elapsed since completion of the RMU works, and therefore the plea that the capital cost had not yet been firmed up is wholly untenable, particularly when the CEA had undertaken a site visit and recommended the final completed cost of the RMU activities, which was thereafter duly adopted by the State Commission.

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35. It is apposite and of relevance to reproduce relevant paragraph from the CEA report dated 05.05.2016, validating the completed cost of RMU for referred SHP post RMU.

Pathri SHP "5. Completed (Final Executed) Cost

a) It is observed that the works have been audited by the AG Auditors and the Auditors have not reportedly found any discrepancies/ anomalies in completed cost with respect to the Contract Agreement for the said R&M works.

b) The Completed Cost of R&M Works of Rs. 105.04 Cr. whose details are given below is generally in order.

| Works | R&M Cost in the Project (in Rs. Cr.) |
|---|---|
| E &M Works | 96.57 |
| Hydro-Mechanical and Civil Works | 8.47 |
| Total | 105.04 |

c) The increase in Completed Cost viz-a-viz Awarded Cost is on account of price escalation as per contract provisions."

Mohammadpur SHP "5. Completed (Final Executed Cost)

a) It is observed that the works have been audited by the AG Auditors and the Auditors have not reportedly found any discrepancies/ anomalies in completed cost with respect to the Contract Agreement for the said R&M works.

b) The Completed Cost of R&M Works of Rs. 73.32 Cr. whose details are given below is generally in order.

| Works | R&M Cost in the Project (in Rs. Cr.) |
|---|---|
| E &M Works | 63.11 |
| Hydro-Mechanical and Civil Works | 10.22 |
| Total | 73.32 |

c) The increase in Completed Cost viz-a-viz Awarded Cost is on account of price escalation as per contract provisions."

36. It is observed from the above, that the prudence check of cost has been carried out by CEA based on audit conducted by AG Auditors and completed cost of Rs 105.04 Crore for Pathri SHP and Rs 73.32 Crore for Mohammadpur was found to be in the order as submitted by the Appellant. The State Commission, in the Impugned Order has not undertaken any separate prudence check of cost of RMU works; however, after considering IDCs for the referred SHPs, and the cost concurred by CEA for the referred SHPs, a total cost of Rs 110 Crore, including of IDC, was considered for Pathri SHP and Rs 76.21 Crore for Mohammadpur SHP for the purpose of tariff determination. We find merit in the observation of the State Commission that the Appellant, being a company incorporated under the Companies Act, is required to follow the accrual basis of accounting, and that expenditure is required to be duly recognized in the accounts irrespective of whether the actual payment has been made. It is of relevance to note that completed cost submitted by Appellant to CEA was audited and they have not reportedly found any discrepancies in completed cost with respect to Contract Agreements.

37. In view of above deliberations, we do not find any error in the Impugned Order on this issue, and the Impugned Order is upheld on this issue.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 ISSUE NO 2 (b) : PROJECT SPECIFIC TARIFF DETERMINATION - INTEREST ON LOAN; DEDUCTION OF MNRE SUBSIDY FROM LOAN SUBMISSIONS URGED ON BEHALF OF APPELLANT

38. It is submitted that the State Commission, while allowing interest on loan capital, without examining the actual constitution of the capital cost claimed by the Appellant in terms of actual loan, actual equity and actual grant/subsidy received from MNRE, has erroneously allowed interest on loan after deducting 75% of the MNRE grant from the actual loan amount, instead of treating the MNRE grant as part of the normative debt. Under Regulation 15(3), the subsidy received from MNRE, to the extent specified under Regulation 24, is required to be treated as pre-payment of debt, leaving the balance loan and 30% equity to be considered for determination of loan, and Regulation 24 further provides that 75% of the capital subsidy shall be considered for tariff

determination. Appellant had availed the MNRE subsidy for asset creation and not for repayment of debt and accordingly by reducing it from debt, the Appellant has been denied the actual interest on actual loan capital.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

39. In terms of the "UERC RE Regulations, 2013", subsidiary available from MNRE, to the extent specified under Regulation 24, is required to be treated as having been utilized towards pre-payment of debt, leaving the balance loan amount for the purpose of tariff determination. The State Commission, while determining the project-specific tariff for the SHPs, has adopted the same regulatory approach and, accordingly, allowed Interest on Loan Capital on the basis of the actual loan amount reduced to the extent of 75% of the capital subsidy, strictly in terms of the Regulations.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 Our Consideration

40. Relevant Regulations 15(3) & 24 of "UERC RE Regulations, 2013" are reproduced below:

> "15(3) Subsidy available from MNRE, to the extent specified under Regulation 24, shall be considered to have been utilized towards pre- payment of debt leaving balance loan and 30% equity to be considered for determination of tariff.
>
> Provided further that it shall be assumed that the original repayments shall not be affected by this prepayment.
>
> 24. Subsidy or incentive by the Central/State Government The Commission shall take into consideration any incentive or subsidy offered by the Central or State Government, including accelerated depreciation benefit if availed by the generating company, for the renewable energy power plants while determining the tariff under these Regulations.
>
> Provided that only 75% of the capital subsidy for the financial year of common applicable scheme of MNRE shall be considered for tariff determination.----------"

41. From the perusal of the above Regulations, it is evident that only seventy- five percent of the capital subsidy received by the project developer is to be reckoned for the purposes of tariff determination, and such portion is deemed to have been utilized towards the prepayment of debt. Consequently, in our view, in a case where the total project cost is Rs100 Crore, considering debt-equity ratio of 70:30, the loan component would be Rs 70 Crore. Suppose a subsidy of Rs 20 Crore is received then, seventy-five percent thereof, i.e., Rs15 Crore, shall be adjusted against the loan component, thereby reducing the effective debt to Rs 55 Crore for the purpose of computing interest on loan. In this manner, the entire project cost is serviced through a combination of equity, reduced debt, and Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 subsidy, ensuring that the benefit of subsidy is duly reflected in tariff determination and passed on to the consumers.

Break-up of overall capital structure as considered by the State Commission, as reflected in para 3.26 of the Impugned Order for the SHPs, is as noted below Particulars Pathri Mohammadpur Amount % Amount % (Rs. Crore) (Rs. Crore) Capital 110 100% 76.21 100% Expenditure Loan 65.00 59.09% 50.46 66.21% Equity 32.80 29.82% 19.10 25.06% Grant 12.20 11.09% 6.65 8.73%

42. It is noted from the Impugned Order that loan component has been reduced by 75 % of the Subsidy amount and, interest on loan has been computed on the balance loan amount. From the above noted capital structure, it is evident that project cost has been funded by way of equity, loan as well as Subsidy and the loan after considering subsidy and equity has availed to fund project cost. In our view, the State Commission has erred by reducing 75% of subsidy from the loan component, for calculation of interest of loan, while the loan itself has been availed after considering equity and 100% subsidy and not even 75% subsidy in terms of the Regulation. Therefore, no subsidy amount is available with the Appellant to consider it for the prepayment of loan, as same has been used in finding the cost of RMU.

43. We therefore set aside the Impugned order on this aspect and direct the State Commission to calculate interest on loan on the actual amount of loan availed for tariff determination purpose.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 ISSUE NO 2 (c): PROJECT SPECIFIC TARIFF DETERMINATION - TREATMENT OF SALVAGE VALUE OF THE PROJECT PRE RMU SUBMISSIONS URGED ON BEHALF OF APPELLANT

44. It is submitted that the State Commission has failed to apply Regulation 17(2) of the "UERC RE Regulations, 2013", which expressly provides that "salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of the Capital Cost of the asset" and in the Impugned Order, it is noted that since the two projects have already outlived their useful life, the assets have already been fully depreciated, accordingly, the same has not been considered as a part of capital cost. The said finding is wholly erroneous and reflects a contradictory approach; on the one hand, State Commission refused to grant generic tariff on the ground that the SHPs could not be treated as new projects, on the other hand, it failed to apply its own Regulations while determining the project-specific tariff. Salvage value of the assets ought to have been duly considered as part of the capital cost for the purpose of computation of project-specific tariff.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

45. It is submitted that State Commission, while computing depreciation, has considered that the two projects had already outlived their useful life and that the assets stood fully depreciated, and therefore did not form part of the capital cost. The contention of the Appellant that the 10% residual value of the old plants ought to have been included in the capital cost is wholly misconceived, inasmuch as Regulation 17 of the RE Regulations, 2013 expressly provides that depreciation is allowable only up to a maximum of 90% of the capital cost of the asset, treating the balance 10% as salvage value. Accepting the Appellant's contention would effectively result in permitting recovery of depreciation beyond 90% of the capital Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 cost, which is impermissible and contrary to the Regulations. Further, the capital cost of the Pathri and

Mohammadpur SHPs as considered by the State Commission vide Order dated 19.05.2009 was only Rs. 0.20 crore and Rs. 0.16 crore respectively, out of which a substantial portion would, in any event, have been written off owing to replacement of old machinery.

OUR CONSIDERATION

46. The relevant Regulation with regard to depreciation is given as under:

> "17. Depreciation (1) For the purpose of tariff, depreciation shall be computed in the following manner, namely:
>
> (a) The value base for the purpose of depreciation shall be the capital cost of the project as admitted by the Commission in accordance with sub- regulation (2) below.
>
> (b) The Salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of the Capital Cost of the asset.
>
> (c) Depreciation per annum shall be based on 'Differential Depreciation Approach' over loan tenure and period beyond loan tenure over useful life computed on 'Straight Line Method. For generic tariff the depreciation rate for the first 12 years of the Tariff Period shall be 5.83% per annum and the remaining depreciation shall be spread over the remaining useful life of the project from 13th year onwards".

47. It has been brought to our notice that the, prior to the undertaking of RMU, the tariff of Pathri SHP and Mohammadpur SHP has been determined by the State Commission in its SHP Tariff Order dated 19.05.2009, effective from 01.04.2008, and valid for a period of 30 years from the said date.

48. In terms of above referred Regulations, and otherwise also, generally depreciation is allowed up to 90% of the project Cost, with the remaining 10 %.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 treated as salvage value. Salvage value is nothing but scrap value or residual value of an assets and it is the estimated amount an asset is worth at the end of its useful life, after depreciation has been fully accounted for. It represents the resale, recycling, or scrap value that can be recovered when the asset is retired. In the present case, the referred SHP has not been retired and accordingly the Appellant cannot recover the salvage value which it could have otherwise entitled to when it disposes the assets at the end of its useful life. In the present case, after RMU, the useful life of referred SHPs has been considered to be extended by 30 years and projects specific tariff has been determined. We therefore find that the State Commission has erred by not considering the salvage value/balance depreciation in the capital cost post RMU for determination of project Specific Tariff. We do not find merit in the contention of respondents that adding the balance depreciation/salvage value then depreciating it may result in depreciation more than 90%, as depreciation applicable to the capital cost so arrived after adding salvage value/balance depreciation to the RMU cost, shall be in terms of "UERC RE Regulations, 2013.

49. In view of above deliberations, the Impugned Order with regard to non- consideration of salvage value/balance depreciation pertaining to the pre- RMU period, is set aside and matter is remanded to the State Commission with the direction to consider and factor in the salvage value/balance depreciation in working out the Capital Cost, post RMU for determination of project specific tariff.

ISSUE NO 2 (d) : PROJECT SPECIFIC TARIFF DETERMINATION - DESIGN ENERGY SUBMISSIONS URGED ON BEHALF OF APPELLANT

50. It is submitted that upon commissioning of the Tehri Dam in 2007, water discharge for the Pathri and Mohammadpur SHPs became regulated through the Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 Tehri Dam, and accordingly, discharge data from 2007 to November 2009 was furnished by the Appellant, on the basis of which energy potential, and not design energy, was calculated and submitted along with the DPR and it was computed at 155.60 Mus for Pathri SHP and 64.93 MUs for Mohammadpur SHP post RMU in contrast to the pre-RMU average generation of 100 MUs and 40.44 MUs respectively for these SHPs. Subsequently, in April 2015, the Appellant submitted revised calculations of design energy for the period 2007 to 2015, based on actual discharge data for ten years after commissioning of the Tehri Project, and design energy was computed at 129.36 MUs for Pathri SHP and 54.292 MUs for Mohammadpur SHP, in accordance with the definition of design energy. However, same was not considered by State Commission, in the Impugned Order and observed that, for reasons best known to the Appellant, the relevant discharge data of previous years had not been factored in. It is submitted that even as per the CEA, design energy is liable to be reviewed after five years for the purpose of tariff revision.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

51. Regarding the contention of the Appellant that the State Commission ought to have considered the actual generation of both SHPs instead of the generation indicated in the DPR and as recommended by the CEA, it is submitted that the said issue is squarely governed and settled by the provisions of the Regulation 10(3) of "UERC RE Regulations, 2013", which specifies that for projects opting to have their tariffs determined on the basis of actual capital cost instead of normative capital cost, the CUF (generation) for recovery of fixed charges shall be taken as that envisaged in the approved DPR or the normative CUF specified in the Regulation whichever is higher. The State Commission has, accordingly, considered the CUF as has been specified in the DPR for computation of tariff.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017

52. Regarding the contention of the Appellant that, after commissioning of the Tehri Project, the average discharge of only the years 2007, 2008 and 2009 was considered for preparation of the DPR in 2009, it is submitted that the State Commission, in the impugned order, has taken a considered view that, for the purpose of arriving at the energy potential of the SHPs, the Appellant could have estimated the same on the basis of discharge data and other requisite parameters available with it and that, for reasons best known to the Appellant, the relevant data of the previous years was not factored in while computing the energy potential of the said SHPs. There cannot be

two design energy, one for the DPR and another for determination of Tariff.

53. With regard to the contention of the Appellant that the CEA report itself contains a provision for revision of design energy after five years on the basis of availability of annual discharge data, it is submitted that the observations of the CEA are required to be read and applied in conjunction with the applicable Regulation 10(3)(a) of the RE Regulations, 2013, which is binding upon the parties, as held by the Hon'ble Supreme Court in "PTC India Ltd. v. CERC"

> (2010) 4 SCC 603. The said Regulation does not contemplate or permit revision of the design energy of SHPs in cases where a levelized tariff has been determined and fixed for a period of 35 years. Accordingly, it is submitted that the contention of the appellant relating to revision of design energy is devoid of merit and is liable to be rejected.

OUR CONSIDERATION

54. From a perusal of the Updated Detailed projects Reports (DPRs) dated December 2009 referred by the Appellant, for Renovation and Modernization of Pathri SHP and Mohammadpur SHP, it is noted that the entire cost benefit analysis, including tariff determination post RMU is considering the substantial increase in annual generation of Pathri SHP to 155 MUs post RMU, as against Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 an average generation of 89.91 MUs pre RMU and the same for Mohammadpur SHP is mentioned as 64.92 MUs post RMU compared to 40.44 Mus pre RMU. Entire estimation of expected increase in energy post RMU considering the discharge and efficiency of turbines/generators as per RMU proposal has been worked out and submitted by the Appellant itself. Accordingly, Central Electricity Authority (CEA) in its report dated 05.05.2016, on validation of works executed and cost incurred thereof including prudence check of cost incurred in RMU works for Pathri SHP and Mohammadpur SHP, has accepted the annual Design energy as 155 MUs for Pathri SHP post RMU and 64.92 MUs for Mohammadpur SHP post RMU, as proposed by the Appellant.

55. With regard to the provisions of "UERC RE Regulations, 2013", the relevant portion of the Regulation is reproduced hereinbelow:

> "10. Tariffs (3) Project Specific Tariff, on case to case basis, shall be determined by the Commission in the following cases:
>
> (a) For projects opting to have their tariffs determined on the basis of actual capital cost instead of normative capital cost as specified for different technologies under Chapter 5, the CUF (generation) for recovery of fixed charges shall be taken as that envisaged in the approved DPR or the normative CUF specified under Chapter 5 for the relevant technology, whichever is higher;"

56. The above Regulations clearly specifies that for the purpose of recovery of fixed cost, CUF shall be taken as envisaged in the DPR or normative CUF, whichever is higher and in the instant case, it is

specified as 155 MUs for Pathri SHP and 64.92 MUs for Mohammadpur SHP, post RMU and same has been accepted as design energy in the report of CEA. We do not find merit in the contention of the Appellant that what they referred in DPR is the energy potential and is based on limited data available post commissioning of Tehri HEP, while Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 the facts remains that in the DPR, the entire financial and economic analysis is considering the above referred enhanced energy throughout its life extension post RMU.

57. With regard the contention of the Appellant that CEA, in its report dated 05.05.2016, has indicated that 'this design energy may be reviewed after five years for tariff revision considering availability of annual discharge date for limited period ( i.e 10 years from 200-2001 to 2009-10) with the utility, we are of the view that until such a review is undertaken and modifications if any are allowed as permitted under law, the design energy approved in validation report can only be considered in the tariff determination.

58. In view of above deliberation, we do not find any error in the Impugned Order with regard to consideration of Design energy for referred SHPs as per DPR and validated by CEA and the Impugned Order is upheld on this issue.

ISSUE NO 2 (E) : PROJECT SPECIFIC TARIFF DETERMINATION - O& M CHARGES SUBMISSIONS URGED ON BEHALF OF APPELLANT [[

59. It is submitted that State Commission has applied operation and maintenance expenses in terms of Regulation 20 of "UERC RE Regulations, 2013", which are applicable to new SHPs and are on a normative/generic basis, and has observed that O&M expenses are controllable and it is excessive in the case of the subject SHPs. This approach is inherently contradictory, inasmuch as State Commission, while refusing to grant generic tariff to the Appellant, has nevertheless adopted a generic approach in determination of O&M expenses on a generic basis and has allowed O&M expenses of Rs. 410 lakhs for the Pathri Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 SHP and Rs. 236 lakhs for the Mohammedpur SHP, whereas the actual employee expenses for FY 2015-2016 for these SHPs amounted to Rs. 724 lakhs and Rs. 268 lakhs respectively. In the peculiar facts and circumstances of the present case, State Commission ought to have granted actual employee expenses while exercising its powers under Regulation 50.

SUBMISSIONS URGED ON BEHALF OF RESPONDENTS

60. Regarding the contention of Appellant that the State Commission ought to have allowed the actual employee cost claimed by the Appellant, which is stated to be significantly higher than the total normative O&M expenses allowed by the Commission in the impugned order, it is submitted, that the State Commission has rightly applied the normative framework prescribed under the "UERC RE Regulations, 2013"

61. In the Review Order dated 25.05.2017, it is submitted that State Commission has once again examined the contentions of the Appellant relating to the claim of actual employee cost and, upon due consideration, recorded a finding that, on an average, the Appellant had employed 3 employees

per MW for the Mohammadpur SHP and 3.8 employees per MW for the Pathri SHP during FY 2015-16. However, from the ARR Petition filed by the Appellant for FY 2017- 18, it was noted that the average number of employees per MW for the Appellant company as a whole was only 1.62 persons per MW thus there is disproportionate deployment of manpower at these stations and reflects inefficiency on the part of the Appellant. It is further submitted that O&M expenses, including employee costs, are controllable in nature and are capable of optimization through automation and efficient management of available resources, which ought to have been achieved by the Appellant upon completion of the RMU works. It is reasonable to expect that annual repairs and maintenance expenses relating to Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 plant and machinery would reduce consequent to the extensive RMU undertaken by the Appellant.

OUR CONSIDERATION

62. The Regulations 14 to 22 of the "UERC RE Regulations, 2013", specifies the principles related to tariff Structure, Financial Principles, Interest on loan component, Depreciation, Return on Equity, interest on working capital, Operation and maintenance Expenses, CDM befits and Rebate, which shall be made applicable for both, generic and project specific tariff. The specific regulation with regard to operation and Maintenance Expenses, as contained in the aforesaid Regulations, is reproduced below:

> "20 Operation and Maintenance Expenses (1) Operation and maintenance expenses for the year of commissioning shall be determined based on normative O&M expenses specified by the Commission under Chapter 5 for different technologies for the first Year of Control Period, Le. for FY 2013-14. These expenses shall be escalated @ 5.72% p.a. to arrive at O&M expenses for the ensuing years.
>
> (2) Normative O&M expenses allowed for the year of commissioning shall be escalated at the rate of 5.72% p.a. to determine the O&M expenses for the different years of the Tariff Period.

Under Chapter 5, at Regulation 28, O& M expenses for small hydro projects has been specified

28.Small Hydro Generating Plant The technology specific parameters for determination of generic tariffs for Small Hydro Generating Stations shall be as below:

> Project Commissioned on or after 01.04.2013 Project Size Capital O&M Expenses for year Capacity Auxiliary Cost of commissioning Utilization Consumption Factor (Rs. Lakh/ (Rs. Lakh/ MW) (%) (%) MW) Upto 5 MW 785 26.43 Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 >5MW &upto 750 22.73 15 MW 45% 1% >5MW &upto 715 19.03 25 MW "
>
> 63. In the Impugned Order, the above norms prescribed under the "UERC (RE) Regulations, 2013", has been applied while determining the O&M charges for the year of commissioning as Rs 19.03 Lakh/MW for Pathri SHP (20.4MW) & 22.73/MW

for Mohammadpur SHP (9.3 MW) and as submitted by the Appellant, it worked out as Rs. 410 lakhs for the Pathri SHP and Rs. 236 lakhs for the Mohammadpur SHP, whereas the actual employee expenses incurred during FY 2015-2016 for these SHPs amounted to Rs. 724 lakhs and Rs. 268 lakhs respectively. We note from the Impugned order as well as the Review Order, that the manpower deployed at the aforesaid substation is more than the average manpower deployed per MW in other HEPs of UJVN. It is also noted from the DPRs pertaining to the RMU of Pathri SHP and Mohammadpur SHP, that in tariff calculation, O&M cost in first year has been considered as 1.5 % of project cost of RMU and for first year has been indicated as Rs 139.24 Lakhs for Pathri SHP and Rs 96.53 lakh for Mohammadpur SHP and sensitivity analysis has also been carried out considering that operating cost remain unchanged post rehabilitation, and even under such scenario, the benefit cost ratio was found to be 1.94 with IRR of about 17.89 % for Pathri SHP and same for Mohammadpur SHP to be 1.05 and IRR of 10.39 %. Post all the financial analysis, RMU for SHPs was undertaken.

64. In view of above deliberations and considering that the O&M charges allowed in the Impugned Order are as per norms specified in the "UERC RE Regulations, 2013", which is applicable to all SHPs, we do not find any infirmity or illegality in the Impugned Order on this issue, and the same is accordingly upheld.

Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 CONCLUSION

65. In view of above deliberations, decision on all the issues is summarized as under:

S.No Issue Decision

1. Issue No 1 : Applicability of Decided against the Appellant, and the Generic Tariff in terms of Impugned Order is upheld "UERC (RE) Regulation, 2013" for the Pathri SHP and Mohammadpur SHP post completion of Renovation, Modernization and Uprating ( "RMU")

2. Issue No 2 : Issues in Project Specific tariff determination a Capital Cost Decided against the Appellant, and the Impugned Order is upheld b Interest on Loan; Remanded to the State Commission to work out interest on loan on actual loan availed c Treatment of salvage value of Remanded to the State Commission to the project pre RMU consider salvage value/balance depreciation pre RMU in the Capital Cost.

d design energy Decided against the Appellant, and the Impugned Order is upheld e O& M Charges Decided against the Appellant, and the Impugned Order is upheld Judgement in Appeal Nos. 260 of 2017 & 264 of 2017 The subject appeal and associated IAs, if any, are hereby disposed of in the above-mentioned terms.

PRONOUNCED IN THE OPEN COURT ON THIS 03rd OF FEBRUARY, 2026.

(Virender Bhat)
Judicial Member

(Seema Gupta)
Technical Member (Electricity)

REPORTABLE / NON-REPORTABLE

_____ Pr/dk/ag